

Primary Auction Note – January 2021

In January, Central Bank of Kenya opened two fixed bonds **FXD1/2021/002** and **IFB1/2021/016** in a bid to raise **25 Billion** and **50 Billion** respectively. The coupon rates for both bonds are Market determined. The period of sale for the bonds runs from **21/12/2020** to **05/01/2021** for the **FXD1/2021/002** and **21/12/2020** to **19/01/2021** for the **IFB1/2021/016**. The **FXD1/2021/002** bond will attract a withholding tax of **15%** while the **IFB1/2021/016** will be tax free.

Investors' focus remains on the short end of the yield curve: In the current market environment where the spread of the corona virus remains a concern and economic activity is muted, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **9.25%** to **9.60%** for the **FXD1/2021/002.** Investors are likely to be interested in the short term paper therefore the **FXD1/2021/002** is likely to be oversubscribed.

Secondary Bond Market:

In December, the secondary market activity increased. Turnover in December, reversed upwards by **23%** to **KES 56.44Bn ($516.84Mn)** from **KES 45.96Bn ($ 414.42Mn)** witnessed in November.

January 4, 2021

RECOMMENDATION:

2- Year FXD1/2021/002:

Bid 9.25% to 9.60%

Period of Sale: 21/12/2020 to 05/01/2021.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B+ (negative)

CPI:
(2019=100):
111.87

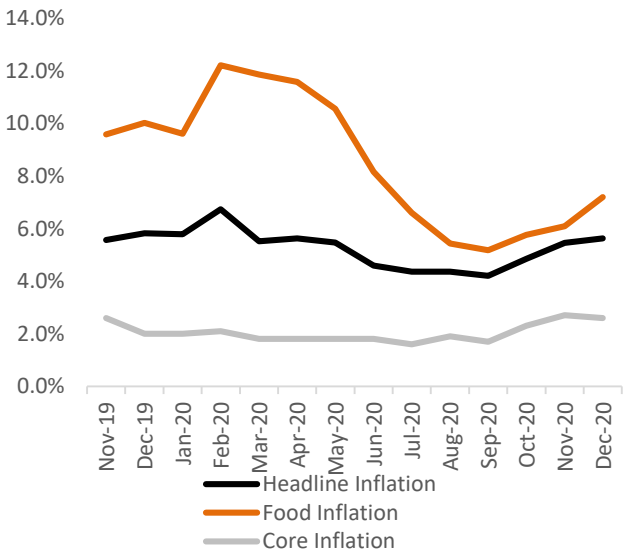
December Inflation:
5.62%

Interbank rate (4th January 2021):
6.19%

C.B.R (26th November 20):
7.00%

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November Inflation:



In December, Headline Inflation increased to **5.62%** from **5.46%** in November. The CPI increased by **0.98%** from **110.78** in November to **111.87** in December. This increase occurred on the back of a rise in prices of food which outweighed the decreases.

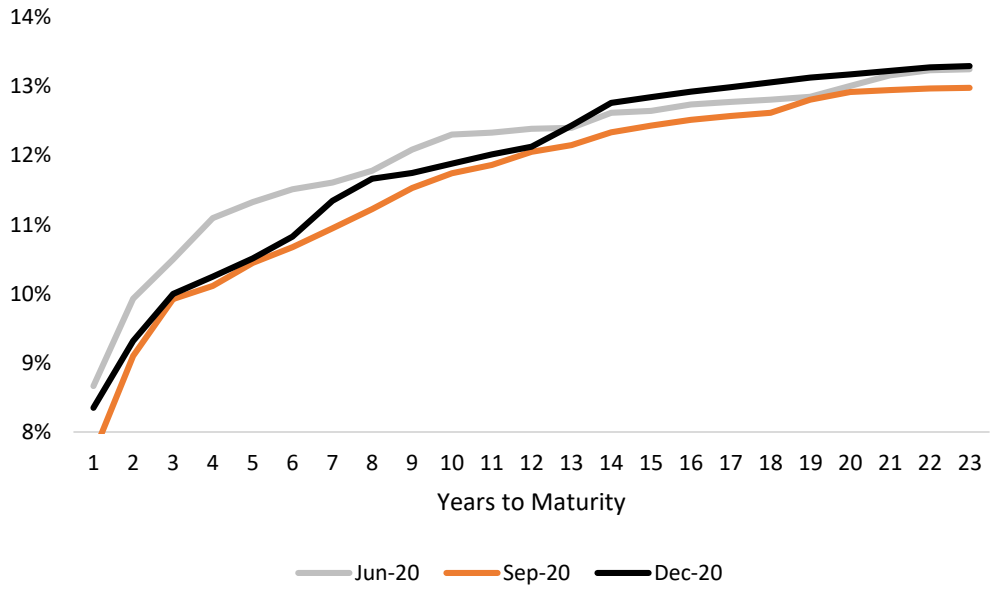
Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

Interbank

The liquidity in the money market tightened during the month evidenced by the rise in the interbank rate which rapidly increased from 3.93% as of 3rd December 2020 to 6.19% as of 4th of January 2021.

In November, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank Rate at 7.00% with the monetary authority noting that the rate is serving the purpose of cushioning Kenyans against the unprecedented fallout caused by the coronavirus outbreak.

NSE Yield Curve



The government is likely to increase borrowing due to the short fall in revenue collection thus we expect an upward shift in the yield curve going forward

Currency:

The Kenya Shilling (KES) appreciated against the greenback over the month of December as it gained **0.80%.** On the 31st of December, the KES closed at a value of **KES 109.1718/$** versus the **KES 110.0535/$** witnessed at the end of November. The continued appreciation of the KES is likely to reduce the cost of imports while encouraging investments within the country.

CBK's usable foreign exchange reserve decreased to **USD 7.75 billion** in December from **USD 7.95 billion** at the end of November, representing a decrease to **4.76 months** of import cover from **4.88 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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